TOPIC 1 · THE GLOBAL ECONOMY

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China's factories slip back into contraction as demand weakens

China's official manufacturing PMI fell below 50 in October, and services and construction contracted too. This is a warning sign for Australia's largest export market.

WHAT HAPPENED

- The official **manufacturing PMI** fell to **49.3** in October from 50.1 in September, missing forecasts of 49.9. A reading below 50 means activity is shrinking.
- The **non-manufacturing PMI** (services and construction) fell to **49.7** from 50.2.
- The **new orders** index fell to 49.4 (from about 50.5), with both domestic demand and overseas orders weaker. The **consumer goods PMI** fell 1.9 points.
- **High-tech and AI-related** manufacturing kept growing, but not enough to offset weakness elsewhere.

Key terms: purchasing managers' index (PMI), economic growth, aggregate demand, terms of trade, export demand

49.3
Manufacturing PMI, Oct (Sept 50.1)

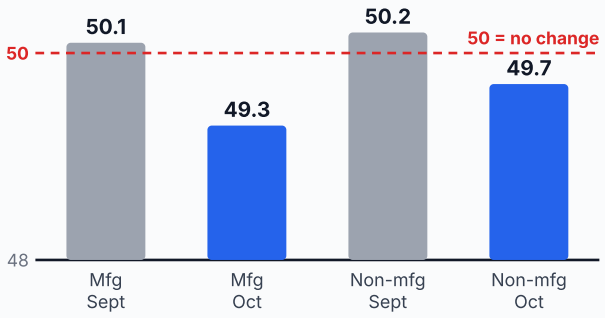
49.7
Non-manufacturing PMI (Sept 50.2)

49.4
New orders index (Sept ~50.5)

−1.9 pts
Fall in consumer goods PMI

BAR CHART

China's official PMIs: September vs October 2026



A **PMI** surveys purchasing managers about output, orders and jobs. **Above 50 = expansion; below 50 = contraction.**

Both measures crossed below 50 in October. Falling **new orders** are a leading indicator, suggesting output may stay weak in coming months. (The axis starts at 48 to make the change visible.)

Exam angle: slower Chinese growth reduces demand for **iron ore, coal and LNG**, which can lower Australia's **export prices** and volumes, worsening the **terms of trade** and the **current account**.

FLOW CHART

How a Chinese slowdown reaches Australia

Chinese factory output and orders fall → Less demand for steel and energy → Lower iron ore and coal prices → Australia's terms of trade fall → **Lower export income and a weaker AUD**

SYLLABUS LINK

Topic 1 – economic growth and development in other economies (China). **Topic 2** – Australia's trade with Asia, the terms of trade and the current account.

TRY THIS

1. China buys about a third of Australia's goods exports. Explain how a slowdown in Chinese manufacturing could affect Australia's terms of trade and current account balance. **(5 marks)**
2. What does a fall in China's new orders index suggest about the likely direction of Chinese output? **(2 marks)**

China-Global South Project (AFP): chinaglobalsouth.com/2026/10/31/china-manufacturing-pmi-october-2026-factory-contraction/
CGTN: news.cgtn.com/news/2026-10-31/China-s-manufacturing-PMI-at-49-3-non-manufacturing-PMI-at-49-7-1RGwN3PBXpu/p.html